Internal Audit Report

Revenue Recognition and Billing

Aurora Retail Holdings

Date: March 10, 2025

Internal Audit Department

1. Objective and Scope

1.1 Objective

The objective of this internal audit was to assess the design and operating effectiveness of controls related to revenue recognition and billing for Aurora Retail Holdings, with a focus on:

- Accuracy and completeness of revenue recorded;
- Timeliness and accuracy of billing and invoicing;
- Compliance with the Company's Revenue Recognition Policy and applicable accounting standards.

1.2 Scope

1.2.1 The audit covered the period from January 1, 2024 to December 31, 2024.

1.2.2 Scope included:

a) Core Retail sales (stores and owned e-commerce)

b) Marketplace commissions and fees

c) Services revenue (warranties, credit card program income)

1.2.3 The following were out of scope:

a) Gift card breakage

b) Non-operating income

2. Summary of Findings

2.1 Overall assessment

- Overall control environment: Needs Improvement.
- Controls are generally designed appropriately but there are notable gaps in the operation of key controls around manual adjustments and Marketplace fee calculations.

2.2 Summary of key findings

- High-severity:
  - Finding 1: Lack of independent review for manual revenue adjustments above USD 50,000.
- Medium-severity:
  - Finding 2: Inconsistent application of contract start dates for certain Services arrangements.
  - Finding 3: Delays in billing for Marketplace dispute resolutions impacting revenue cut-off.
- Low-severity:
  - Finding 4: Incomplete documentation of revenue recognition judgments for non-standard contracts.

3. Detailed Findings

3.1 Finding 1 – Manual Revenue Adjustments (High)

3.1.1 Condition

During the review of manual journal entries and point-of-sale adjustments, we identified several instances where revenue adjustments above USD 50,000 were posted without evidence of independent review or approval.

3.1.2 Criteria

The Company’s Revenue Recognition Policy requires an independent review and documented approval for any manual adjustment exceeding USD 50,000.

3.1.3 Cause

- The ERP system does not enforce an approval workflow for large adjustments.
- Local finance teams rely on informal email approvals that are not consistently retained.

3.1.4 Effect

- Increased risk of error or inappropriate revenue recognition.
- Potential misstatement of revenue if large manual corrections are not adequately reviewed.

3.1.5 Recommendation

- Implement a system-enforced approval workflow for manual revenue adjustments above USD 50,000.
- Require evidence of review (e.g., electronic sign-off) to be retained with the journal entry.

3.1.6 Management Response

- Management agrees with the recommendation.
- Target remediation date: September 30, 2025.
- Owner: Director of Corporate Accounting.

3.2 Finding 2 – Services Contract Start Dates (Medium)

[Similar structure: Condition, Criteria, Cause, Effect, Recommendation, Management Response.]

3.3 Finding 3 – Marketplace Billing Delays (Medium)

[Similar structure.]

3.4 Finding 4 – Documentation of Judgments (Low)

[Similar structure.]

4. Management Action Plan

4.1 Overview

The following table summarizes management's remediation commitments:

Finding	Severity	Owner	Target Date
Finding 1	High	Director, Corp Accounting	30 Sep 2025
Finding 2	Medium	VP, Services Finance	30 Jun 2025
Finding 3	Medium	Director, Marketplace Ops	31 May 2025
Finding 4	Low	Revenue Policy Committee	31 Aug 2025

5. Follow-up Plan

5.1 Internal Audit will conduct a follow-up review in Q4 2025 to validate that remediation actions have been implemented and are operating effectively.

5.2 Status of remediation will be tracked in the Internal Audit Issue Tracker and reported to the Audit Committee quarterly until closure.